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SPACE



SpaceX faces two new lawsuits alleging safety-related retaliation



When longtime supervisor Robert Markert warned SpaceX leaders that one part of the rocket fairing recovery process could “easily cause serious injury or death,” he alleges he was ignored because “it was the more economical solution,” according to a recently filed lawsuit. A few months later, he was out of the job.

Markert is one of two former SpaceX employees who have filed separate wrongful-termination lawsuits, both of which were removed to federal court earlier this month. The two complaints make similar allegations about how speed and cost-saving triumphed over other considerations — including safety.

IMAGE CREDITS: NASA/BILL INGALLS

The lawsuits arrive as SpaceX races to get its Starship ultra-heavy rocket ready to complete missions for NASA, commercial customers, and to launch the company’s Starlink satellite internet service. Beyond the Starship program, SpaceX also operates the most frequently launched rocket in history, the Falcon 9, which has flown 87 times so far this year.

Markert spent 13 years at the company before being terminated in April. He alleges that during his tenure technicians were sometimes required to work 15 to 20 days in a row, but when he brought this up to supervisors, he was told “the schedule comes first.” That punishing schedule, performed in a high-stress environment, resulted in injuries

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Markert alleges the ship technicians were too afraid to report.

When Markert suggested the company prioritize trainings and certifications, he was told “there is no time for that and the company would not spend money on it,” according to the complaint.

The second lawsuit, filed by SpaceX plumber David Lavalle, alleges he was fired after the company failed to accommodate multiple work-related injuries, including a fractured foot, severe neck pain, injuries to his back and shoulders, and wrist pain. While Lavalle filed for workers’ compensation for some of these injuries, he did not do so for all for fear of retaliation, the complaint says.

Nine days after requesting medical leave for gout-induced knee pain, Lavalle was terminated. Lavalle, who is 60 years old, joined the company in 2014. He alleges in the complaint he was part of a wave of firings of older staff members, led in part by 28-year-old Scott Hiler, whom SpaceX hired as a new senior manager late last year.

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A lawyer representing Markert declined comment, while Lavallo's attorney did not immediately respond to TechCrunch's request for comment. SpaceX did not respond to TechCrunch's request for comment.

[Recent reporting from TechCrunch](#) showed that SpaceX outpaced its peers in worker injury rates for 2024. Data from the Occupational Safety and Health Administration showed that the Starbase complex in Texas recorded an injury rate of 4.27 per 100 workers last year, nearly triple the aerospace manufacturing average of 1.6.

Markert, a resident of Los Angeles County, doesn't expressly state where he worked at SpaceX. The lawsuit does note he worked with ship technicians. SpaceX's west coast rocket fairing recovery operations count the highest injury rates of all SpaceX sites, the OSHA logs show, with an injury rate of 7.6 per 100 workers for the west coast operations.

Both complaints were filed in Los Angeles County Superior Court and were then removed by SpaceX to the U.S. District Court for the Central District of California.

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Aria Alamalhodaie

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Aria Alamalhodaie covers the space and defense industries at TechCrunch. Previously, she covered the...

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SpaceX is building a water pipeline to Starbase — but access comes with some conditions

Aria Alamalhodaie — 10:30 AM PDT · August 7, 2025

The newest piece of infrastructure coming to Starbase, Texas, isn't a launch mount or a booster. It's a water pipeline, and who can hook up a tap (and on what terms) will shape the definition of "company town."

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The new line, which will stretch from Brownsville to the newly incorporated city of Starbase, will replace the truck-hauled deliveries SpaceX has used to transport potable water for its employees and on-site residents. Brownsville Public Utilities Board (BPUB) COO Mark Dombroski confirmed the line at a July 16 meeting, saying the board had executed a contract with SpaceX to provide water as an in-city customer.

The BPUB approved the SpaceX contract on June 2, Dombroski told TechCrunch over email. He did not explain why SpaceX is being treated as an in-city nonresidential customer, which carries a cheaper rate class than outside-city customers, despite the fact that the company did, indeed, establish its own city.

“Under a non-standard development agreement, SpaceX will extend — at their cost — a line to a metering point within the city limits, then transport the water to Starbase,” he continued. “They will also pay for and construct the improvements needed for BPUB to deliver water to the meter. This arrangement is intended to supersede the water hauling arrangement after SpaceX starts taking water through the meter. Timing is driven largely by SpaceX’s construction schedule.”

The potable water deliveries have been constrained by a 60,000 gallons per day cap under the current hauled-water purchase agreement between BPUB and SpaceX, according to a January 2024 letter from the Texas Commission on Environmental Quality (TCEQ). The pipeline would change that, making it easier for SpaceX to build out more amenities and housing for employees.

For a handful of non-SpaceX affiliated homes, getting access to that water may come with some terms and conditions.

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In July, nearly 40 properties along the stretch between Brownsville and Boca Chica were abruptly cut off from the county water service, [according to the San Antonio Express-News](#). Cameron County previously delivered fresh water as a “courtesy” service to these properties, but the county now says it is Starbase’s responsibility to deliver water to these residents.



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Starbase disagrees: In July, Starbase city administrator Kent Myers reportedly sent a letter to a Cameron County commissioner saying the abrupt water cutoff “poses safety and public health risks.”

Starbase “has neither the legal authority nor operational capacity to deliver water to these residents,” Myers said.

Meanwhile, SpaceX has reportedly distributed an “unconditional and perpetual agreement” to non-SpaceX affiliated homes that would exchange access to Starbase’s water and sewer system for

residents' agreement to leave the area for "any and all launch, testing and other operational activities."

The document also states that "SpaceX has no obligation to provide residents with access to SpaceX's water and wastewater treatment," nor does it guarantee the quality or volume of water and blocks residents from seeking "legal or monetary recourse" against the company.

A city — with no utilities

The newly incorporated city of Starbase, governed by SpaceX executives, is a separate municipal entity adjacent to and encompassing SpaceX's sprawling South Texas launch site.

[The city was incorporated in May.](#) Only registered voters within the proposed boundary were allowed to vote on the incorporation. There were 247 lots inside that boundary, and only 10 were not owned by SpaceX, according to an affidavit submitted by SpaceX senior manager of spaceport operations Richard Cardile.

Even before the vote was cast, SpaceX had been working behind the scenes to formalize potable water provisions for employees and residents.

SpaceX established a state-regulated drinking-water system, replete with a half-a-million-gallon ground storage tank, plus service pumps, a chlorine analyzer, tank mixer, and other hardware, according to TCEQ records. The central water system, which is supplied by the two water haulers, is small compared to a city utility, but sizable for an on-site, industrial operation. It serves 239 residential service connections, or meters, which can include multiple units.

Starbase’s role is limited by design: “The City of Starbase does not provide any utility services,” Myers told TechCrunch. “These services are provided by SpaceX within the City Limits.”

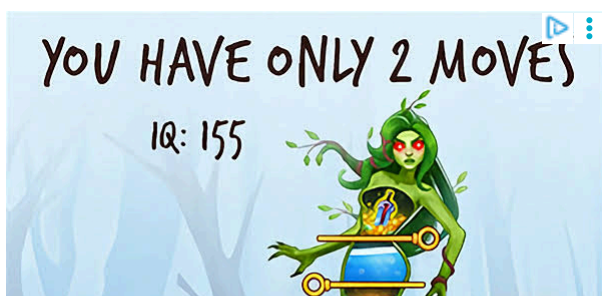
In practice, that means the forthcoming Brownsville-Starbase pipeline would feed a private, SpaceX-run water system. Neighbors don’t automatically gain a right to a tap; any connection would be at SpaceX’s discretion, and on SpaceX’s terms.

The planned pipeline solves near-term scarcity for SpaceX employees and their families but doesn’t create a public right to water.

According to public records, SpaceX has not obtained a Certificate of Convenience and Necessity (CCN), a Texas Public Utility Commission authorization that determines who may retail water, so has no obligation to serve third parties.

SpaceX did not respond to TechCrunch’s questions on whether it will be adding public utilities to its long list of commercial services.

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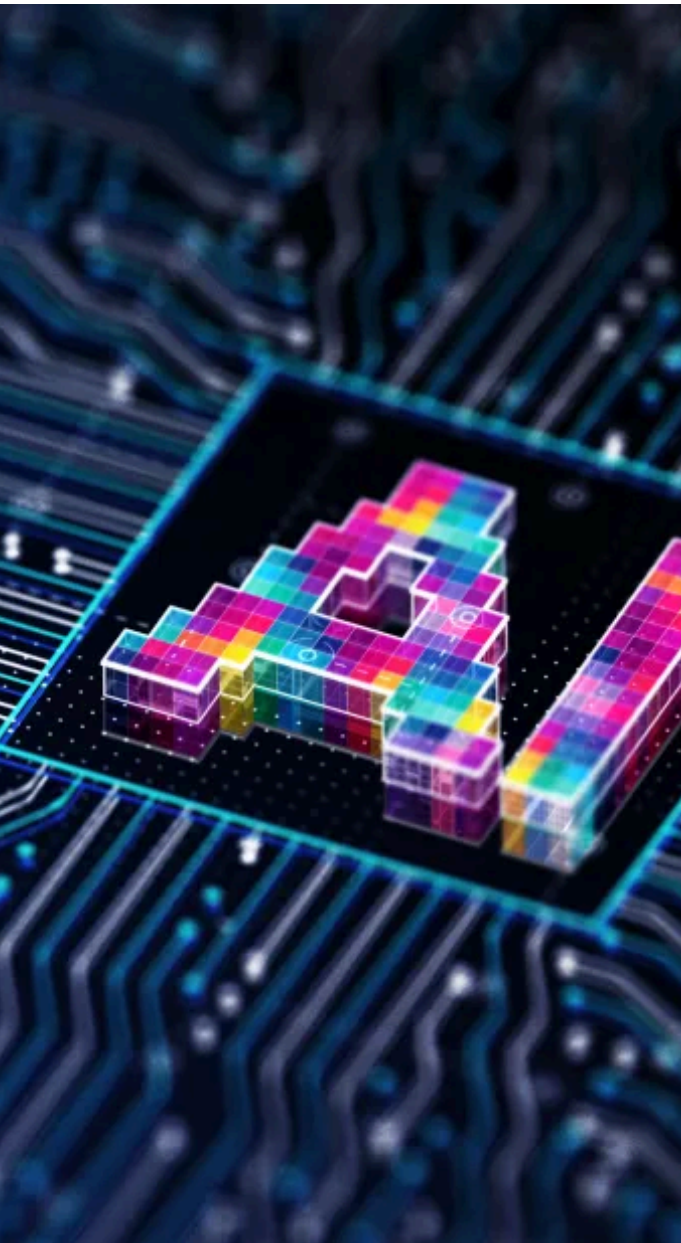


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AI



Two arrested for smuggling AI chips to China — Nvidia says no to kill switches

Rebecca Szkutak — 6:02 AM PDT · August 6, 2025

The U.S. Department of Justice (DOJ) [said](#) on Tuesday that two Chinese nationals have been arrested for their alleged involvement in illegally

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shipping tens of millions of dollars' worth of high-performance AI chips to China.

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The DOJ said Chuan Geng and Shiwei Yang were arrested in California on August 2 and charged with violating the Export Control Reform Act, a felony that carries a statutory penalty of a maximum of 20 years in prison.

Geng and Yang are accused of knowing and willfully shipping “sensitive technologies,” including GPUs, to China from the U.S. through their California-based company, ALX Solutions.

The DOJ did not name the company whose chips ALX Solutions was allegedly smuggling, but quoting a complaint, it said the chip is “the most powerful chip in the market” and is “designed specifically for AI applications.” That description makes it likely that the chips being smuggled were made by Nvidia. A [report by Reuters](#) specifically named Nvidia’s H100 GPUs as the chips being shipped.

A review of export documents by the DOJ found that ALX Solutions sent chips and other tech to shipping and freight-forwarding companies in Singapore and Malaysia, but received payments from entities in Hong Kong and China in return. The department also found records of communication regarding shipping the tech to Malaysia to specifically go around U.S. export restrictions.

“This case demonstrates that smuggling is a nonstarter,” an Nvidia spokesperson said in a statement. “We primarily sell our products to well-known partners, including OEMs, who help us ensure that all sales comply with U.S. export control rules. Even relatively small exporters and shipments are subject to thorough review and scrutiny, and any diverted products would have no service, support, or updates.”

TRANSPORTATION



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The news comes as the U.S. tries to figure out how to strike a balance between fostering global AI innovation and imposing export restrictions to China, which many in the West perceive to be a major threat in the AI race. The Trump administration's recently announced [AI Action Plan](#) belabored the importance of having strong export restrictions but was light on details.



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One potential solution to curb chip smuggling that has been suggested by the U.S. government in recent days is to [implement tracking technology into chips](#) to help catch smuggling, but chipmakers are quite opposed to such a move.

In a [blog post on Tuesday](#), Nvidia said its GPUs do not include kill switches or backdoors, and argued that building in such tools would only result in compromising security.

“Nvidia has been designing processors for over 30 years. Embedding backdoors and kill switches into chips would be a gift to hackers and hostile actors,”

the company wrote. “It would undermine global digital infrastructure and fracture trust in U.S. technology. Established law wisely requires companies to fix vulnerabilities — not create them.”

“That’s not sound policy. It’s an overreaction that would irreparably harm America’s economic and national security interests,” Nvidia wrote.

Nvidia did not immediately return requests for additional comment.

For more on the semiconductor industry’s tumultuous year so far, here’s a [regularly updated timeline](#) of market news since the beginning of 2025.

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Rebecca Szkutak

Senior Reporter, Venture | [in](#)

Becca is a senior writer at TechCrunch that covers venture capital trends and startups. She previously covered the...



HARDWARE



Trump says Intel CEO Lip-Bu Tan must ‘resign immediately’

Ram Iyer — 6:03 AM PDT · August 7, 2025

IMAGE CREDITS:

ANNABELLE CHIH/BLOOMBERG / GETTY IMAGES

Amidst heightening tensions with China, U.S. President Donald Trump on Thursday insisted that Intel’s CEO, Lip-Bu Tan, must step down, accusing Tan of harboring conflicts of interest.

“The CEO of INTEL is highly CONFLICTED and must resign, immediately. There is no other solution to this problem. Thank you for your attention to this

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problem!” Trump [wrote](#) on his social media platform, Truth Social.

Trump did not share any evidence or details of why Tan may have conflicts of interest.

Trump’s post comes after Republican Senator Tom Cotton on Wednesday [wrote](#) to Intel’s board of directors asking about Tan’s alleged ties to China and his investments in the country, and raised concerns about his time leading Cadence Design Systems, which had a Chinese military university as a customer.

Tan, who [took over the helm in March](#), has been focusing on improving efficiency at the chipmaker, which has lost ground to companies like Nvidia and AMD in the AI chip race. Tan has since [laid off thousands of staff](#), spiked plans for [new manufacturing plants](#), and is trying to [sell non-core subsidiaries](#) as he tries to return the company to being an engineering-first venture.

Notably, Intel was a major part of the Biden administration’s CHIPS Act, promised [almost \\$8 billion](#) to set up manufacturing and packaging projects in facilities across [Arizona](#), [New Mexico](#), [Ohio](#), and [Oregon](#).

Intel did not immediately return a request for comment.

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Ram is a financial and tech reporter and editor. He covered North American and European M&A, equity, regulatory...

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